

SURVEILLANCE POLICY

Shri Venkatesh Stock Broker Services India Pvt Ltd

C-21/22, Shyam Market, Jiwan Bima Marg, Pandri, Raipur C.G.

www.venkateshindia.com

Prepared by: Prashita Gadpalliwar

Reviewed by: Sanjiv Kumar Rathi

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1. Objective

This policy aims to establish a structured framework for monitoring client activities, identifying suspicious transactions, and complying with regulatory requirements as prescribed by SEBI and CDSL.

2. Regulatory References

SEBI Master Circular for Depositories and Participants

Prevention of Money Laundering Act (PMLA), 2002

CDSL Surveillance Guidelines and Circulars

SEBI Circulars on Anti-Money Laundering (AML) and Know Your Customer (KYC)

3. Surveillance Alerts

DPs shall monitor transactions and generate alerts for activities such as:

Sudden spike in volume or value

Frequent off-market transfers

Multiple Demat accounts with common KYC details

Back-to-back movement of securities

Alerts must be verified and closed or reported to CDSL within 30 calendar days.

4. Review & Escalation

All alerts must be reviewed at least once every 15 days.

Suspicious or unresolved alerts must be escalated to the Compliance Officer and reported to CDSL if required.

Justification for delays in closure must be documented.

5. Quarterly Reporting

The DP shall submit a quarterly report to CDSL within 15 days from the end of each quarter.

If no alerts are generated during the quarter, a “NIL report” shall be submitted.

6. Adverse Observation Reporting

DPs must report any adverse or suspicious activities to CDSL using the Adverse Observation Module.

All such reports must be kept confidential and maintained for inspection.

7. Record Maintenance

All records related to surveillance alerts, reviews, and reports shall be maintained for a minimum of 5 years or as per applicable regulations.

8. Annual Review

This policy shall be reviewed and updated annually to ensure compliance with current regulatory requirements.

9. Compliance Responsibility

The Compliance Officer shall oversee the effective implementation of this policy.

All employees must be trained periodically on surveillance procedures and reporting mechanisms.

10. Use of CDSL Surveillance Portal

The DP shall utilize the CDSL Surveillance Portal for alert tracking, verification, closure, and quarterly reporting in the format prescribed by CDSL.

Surveillance means analysis of client's trading activities post trade in order to observe that any transaction or behavior, whether it is buying, selling or instigating in a manner to willfully produce an abnormal effect on prices and/or volumes, goes against the very fundamental objective of the securities markets.

The objective of this policy is to comply with the Bye laws, rules and regulation prescribed by SEBI and Exchanges for monitoring of transactions of clients for due diligence and exchanges circulars issued in March, 2013 regarding Surveillance Obligations for Trading Members. Through, this circular Exchange aims to facilitate effective surveillance mechanisms and for maintaining an orderly market and enhancing market transparency and market integrity. The prime purpose of the surveillance policy is to overseeing trades that occur. Monitoring is a key part of the alerting system. Since electronic trading takes place far too quickly for the naked eye to analyze each trade, individual transactions, therefore the need of surveillance department has arisen. The Surveillance Department is responsible for identifying any potential irregularities that occur in the trading of stocks and to carry out the due diligence of its clients on a continuous basis. Further, said department shall ensure that Key KYC parameters are updated on a periodic basis as prescribed by SEBI and latest information of the client is updated in UCC database of the exchange. In other words, it acts as a security department that watches potential fraud, to protect the interests of investors who invest in the market which is one of main objective of our regulator Securities Exchange Board of India (SEBI).

With respect to the transactional alerts being downloaded from the Exchanges/generated by the Company, the following activities will be carried out based on UCC parameters:

Client(s) Information

Due Diligence of its client(s) will be carried out on a continuous basis. It will also be ensured that key KYC parameters are updated on a continuous basis as prescribed by SEBI and latest information of the client is updated in UCC database of the Exchange. Based on this information, the Company will establish groups / association amongst clients to identify multiple accounts / common account / group of clients.

Analysis

In order to analyze the trading activity of the Client(s) or scrips identified based on above alerts, Company will:

- A. Seek explanation from such identified Client(s) for entering into such transactions.
- B. Seek documentary evidence such as bank statement / demat transaction statement or any other Documents to satisfy itself:
 - i) In case of funds, Bank statements of the Client(s) from which funds pay- in have been met, to be sought. In case of securities, demat account statements of the Client(s) from which securities pay-in has been met, be sought.
 - ii) The period for such statements may be at least +/- 15 days from the date of transactions to Verify whether the funds / securities for the settlement of such trades actually belongs to the Client for whom the trades were transacted
- C. After analyzing the documentary evidences, the Company will record its observations for such identified transactions or Client(s)
- D. In case adverse observations are recorded, the Company will report all such instances to the Exchange.

Monitoring and reporting

Following procedure will followed for monitoring and reporting of alerts:

A. Receipt of Alerts from Exchanges / generated

. B. Time frame for disposition of alerts and if there is any delay in disposition, reason for the Same shall be documented.

C. Suspicious / Manipulative activity identification and reporting process

D. Record Maintenance

E. A quarterly MIS shall be put up to the Board on the number of alerts pending at the beginning Of the quarter, generated during the quarter, disposed off during the quarter and pending at the End of the quarter. Reasons for pendency shall be discussed and appropriate action will be Taken The Board shall be apprised of any exception noticed during the disposition of alerts.

F. The surveillance process shall be conducted under overall supervision of its Compliance Officer

G. Compliance Officer will be responsible for all surveillance activities carried out by the Company and for the record maintenance and reporting of such activities

H. Based on facts and circumstances, the Company will exercise its independent judgment and Will take adequate precaution